



Enhancing Financial Reporting and Transparency

Planning for Pre- and Post-IPO Equity Compensation



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#ENGAGE2023 #AICPAppf

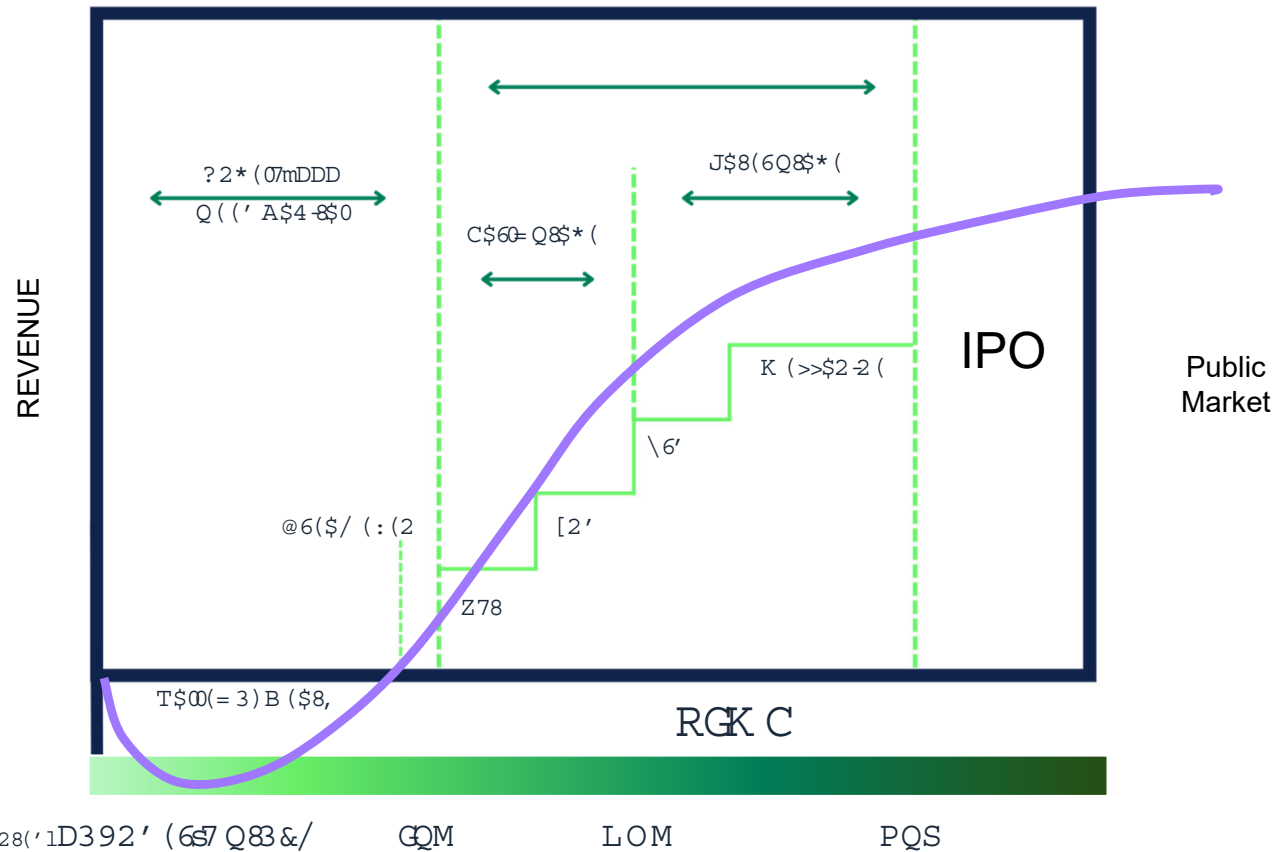


Learning Objectives

- After this session, participants will understand when many common forms of equity compensation are issued.
- After this session, participants will understand planning considerations for many common forms of equity compensation based on company stage.
- After this session, participants will understand how tax considerations impact strategies for equity compensation planning.



Startup Financial Cycle



R=4 (3) C59-8= E 6\$28('1D392' (6\$7 Q83 &/

QM

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PQS

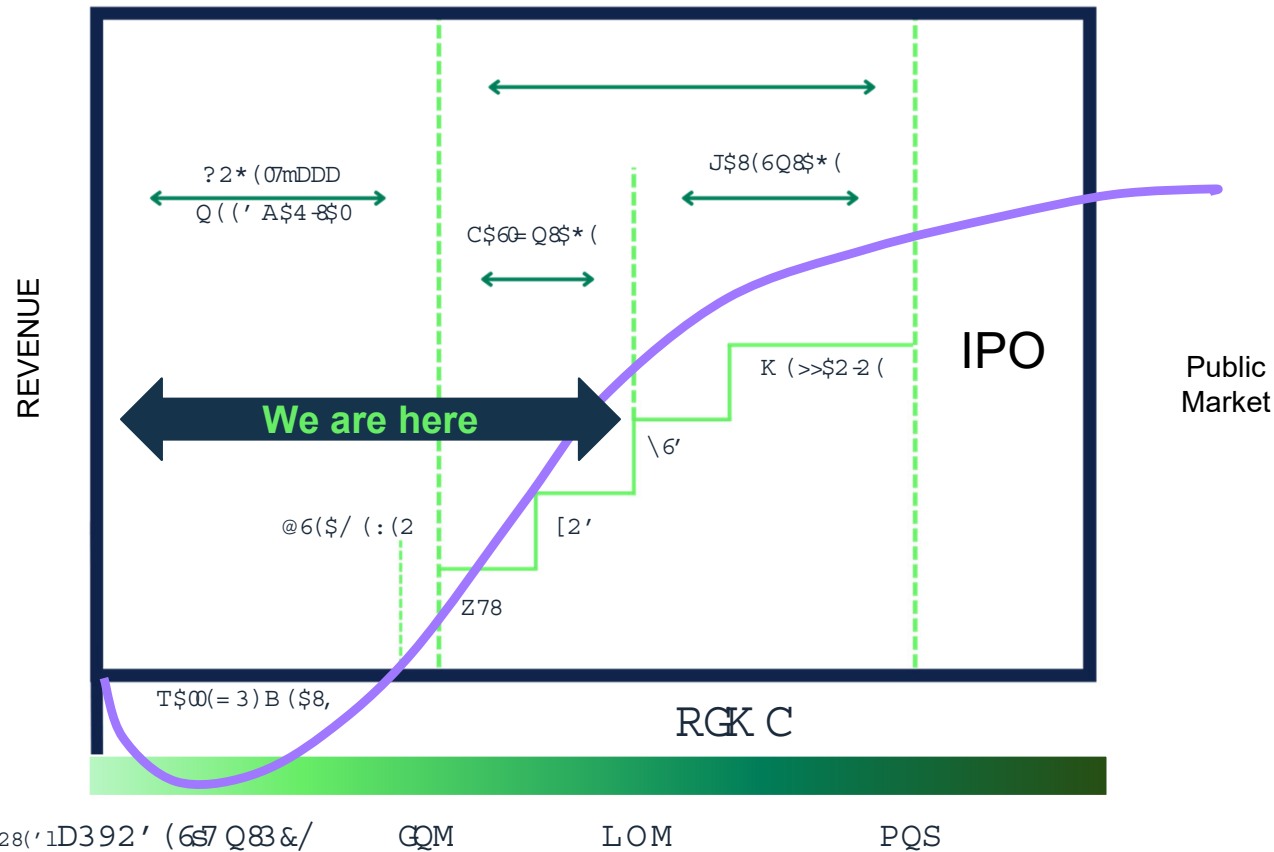


Common Types of Equity at
this Stage

Common Types of Equity

- Restricted Stock
- Incentive Stock Options
- Non-qualified Stock Options
- Double Trigger RSUs

Startup Financial Cycle



R=4 (3) C59-8= E 6\$28(' 1D392' (6\$7 Q83 &/

QM

LOM

PQS

Restricted Stock

- Shares of stock issued at grant
- Subject to vesting (restriction)
- Taxed when vested at current FMV (409A) unless filing 83(b) election
- Entitled to dividends and voting rights
- Holding period starts at vest (or at time of 83(b), if elected)
- Most commonly seen at early-stage start-ups, issued at par value
- Potential to be a tax bomb if you DON'T elected 83(b) and price increases (tax hit every time shares vest)
- Different from RSUs (they come later on)

ISOs

- Incentive Stock Options
- The **incentive** is keep you employed and hold the stock for a long time
- The option to purchase shares of company stock awarded in exchange for service
- The grant determines number of options awarded
- You must meet strict holding period requirements:
 - Hold for two years from grant AND then one year from exercise

ISOs

- The grant determines the price you pay to purchase or exercise the shares
- You control the timing of exercise but NOT vest
- Often awarded to early employees to make the accounting easy for your company
- Tax treatment is unique - there is no tax due immediately upon vest or exercise
- ISOs are taxed in an alternative universe: While no regular income tax is due, exercising an ISO generates income for the Alternative Minimum Tax

NQOs

- Non Qualified Options aka NQSOs or NSOs (Non Statutory Options)
- The OPTION to purchase shares of company stock awarded in exchange for service
- Tax treatment is very similar to RSUs, the only difference is you can decide WHEN you receive the shares
- The grant determines number of options awarded
- The grant determines the price you pay to purchase or exercise the shares
- You control the timing of exercise but NOT vest
- Often awarded before an IPO
- Like RSUs, the taxes are due when you receive the shares
 - Tax is due immediately upon exercise
 - (shares or dollars are withheld)

Double Trigger RSU

- Equity granted in a private company subject to two vesting restrictions:
 - A service-based requirement (continued employment)
 - A liquidity-event requirement (acquisition or IPO)
- The vesting and taxable event does not occur until both requirements are met.
- Most common at companies approaching IPO



Early Stage Planning
Opportunities

Early Stage Planning Opportunities

- 83(b) elections
- QSBS
- Restricted Stock Planning
- ISO Planning
- RSU Planning
- Lending and Liquidity Options



Planning Opportunities - 83 ways to leave your taxes



§83(b) and §83(i)

Decide and elect within 30 days of grant date

- Restricted Stock typically has a vesting schedule (thus the restriction).
- As the restricted stock vests, the value of the vesting stock shows up in your income at ordinary tax rates.
- Filing an 83(b) accelerates all the future income into your income now, which is generally a bad idea.
- Can also accelerate the AMT income of an ISO if the plan allows for it (Rare) - early exercise

Qualified Small Business Stock (QSBS)



- Also known as Section 1202
- To promote investment in young companies, this is a tax benefit that allows investors to exclude 100% of gains up to \$10,000,000 as long as certain provisions are met
- The company had assets of less than \$50m at the time
- Domestic C-Corporation
- Your employer's lawyer and finance team will need to confirm the conditions for QSBS and the date to which shares are eligible
- You must HOLD the shares for 5 years

Planning Considerations - Restricted Stocks



- What risk is there in filing an 83(b)?
- What risk is there in NOT filing an 83(b)?
- How to handle a situation when RS is issued above par value?
- How much risk are you willing to take early on?
- Are we trying to get QSBS?
- Are there transfer restrictions - can we do QSBS stacking for loved ones, estate planning techniques such as trusts?
- What's my anticipated holding period?

Planning Considerations - Incentive Stock Options



- Are there early-exercise provisions?
- What is the AMT consequence of exercising?
- What is my total cost to exercise and timeline to get back the AMT credit?
- Are we trying to get QSBS?
- Is it realistic to hold for 1-year from exercise and 2-years from grant?
- Is there a secondary market I can sell into?

Planning Considerations - Non Qualified Stock Options



- Are there early-exercise provisions?
- What is the tax consequence of exercising?
- What is my total cost to exercise and ordinary income taxes?
- Do I have other, more tax efficient, equity I can exercise (ISOs)?
- Are we trying to get QSBS?
- What is my timeline to liquidity?
- Is there a secondary market I can sell into?

Planning Considerations - Double Trigger RSUs



- What withholding should I elect at vesting?
- How will this impact my strategy for other equity grants I have? i.e. pushing up ordinary income to minimize AMT on ISOs.
- How might a lock-up impact my ability to sell and/or pay my taxes on this?

Lending Opportunities / Liquidity Opportunities at this stage



- Lenders out there will lend money to cover the cost of the exercise and associated taxes in exchange for a portion of the upside
- Some provide lock-up loans for exercises as well when shares are locked up
- Brokers can facilitate transactions on the secondary market for certain private stock
- Often subject to:
 - Company approval
 - Company right of first refusal



Case Study 1: Freddy Founder

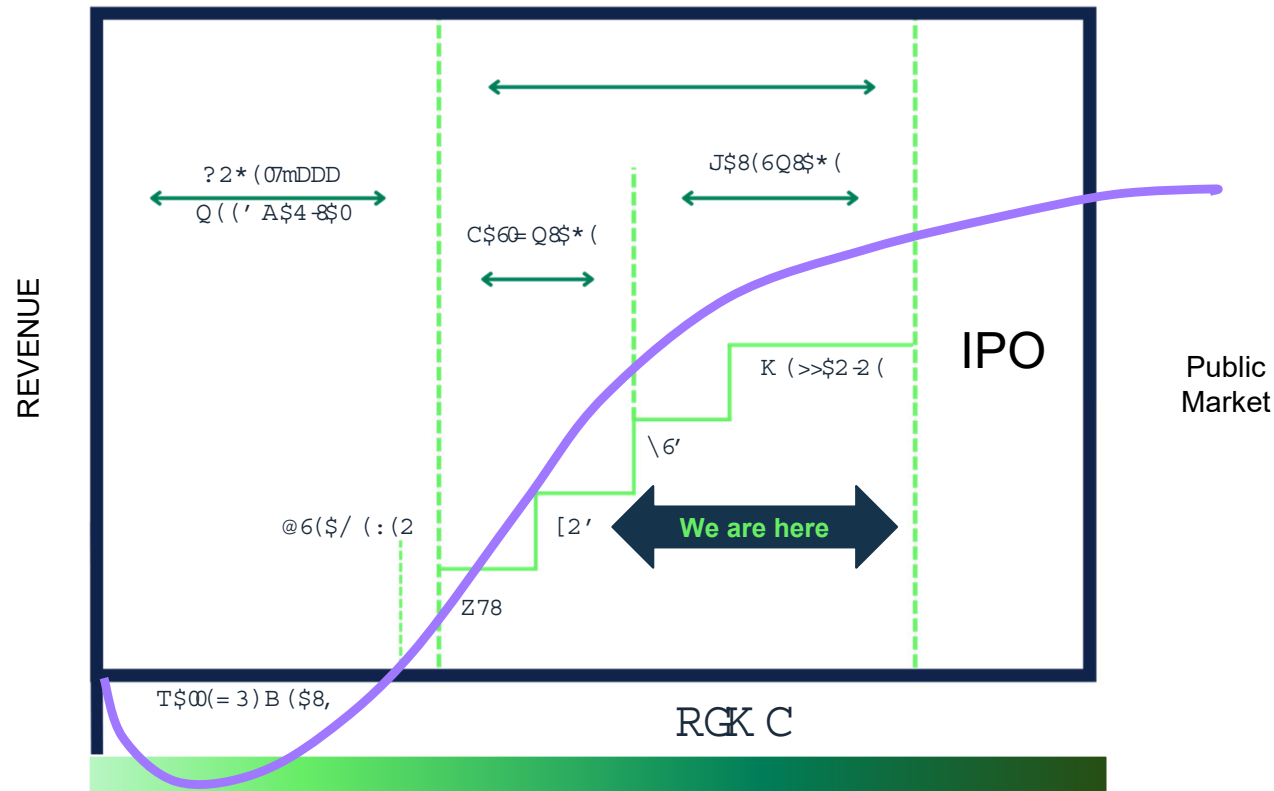
Example: Freddy Founders

- Freddy is a co-founder of a music tech startup called Blink183 Inc.
- He's granted restricted stock upon the corporation forming, subject to vesting requirements.
- The price of the stock is \$0.01/share, he's granted 100,000 shares.
- 25% of the shares vest after 1-year, the remaining shares vest 1/36th per month over the ensuing 3-years.
- Within 30-days of the grant, Freddy files an 83(b) election to pay tax on the value of the shares now (\$1,000).
- He starts the clock for long-term capital gains.
- He starts the clock for QSBS.

Example: Freddy Founders

- Benefits of this strategy:
 - He starts the clock for long-term capital gains.
 - He starts the clock for QSBS.
 - He minimizes the potential for a tax surprise if the stock value increases over the vesting period
- Drawbacks of this strategy:
 - Triggers taxation on income you may never actually have (\$1,000 value of unvested shares)
- How to 83(b): <https://www.brooklynfi.com/blog/83b>

Startup Financial Cycle



R=4 (3) C59-8= E 6\$28(' 1D392' (6\$7 Q83 &/ QOM LOM PQS

That was a relatively simple
and stress-free process!



SAID NO ONE EVER ABOUT AN IPO!

IPO Timeline



The optimal time to get advice around an exercise and sale plan + opportunities for massive tax savings!

Opportunity Cost

Actual time when most folks get advice

Waiting forever for a liquidity event

IPO announced and S-1 filed!

Cluster F***!

Public offering!

Activate diversification plan and trade quarterly

Pre IPO Equity Planning

- Consider your budget for exercising options, generating AMT
- Build an inventory of equity to determine a tax optimized strategy
 - QSBS Shares - consider holding for 5-years
 - ISO Long-term Capital Gain Rules
 - 1 year from exercise
 - 2 years from grant
 - Ordinary income from Double Trigger RSUs
 - Ordinary income from NQOs



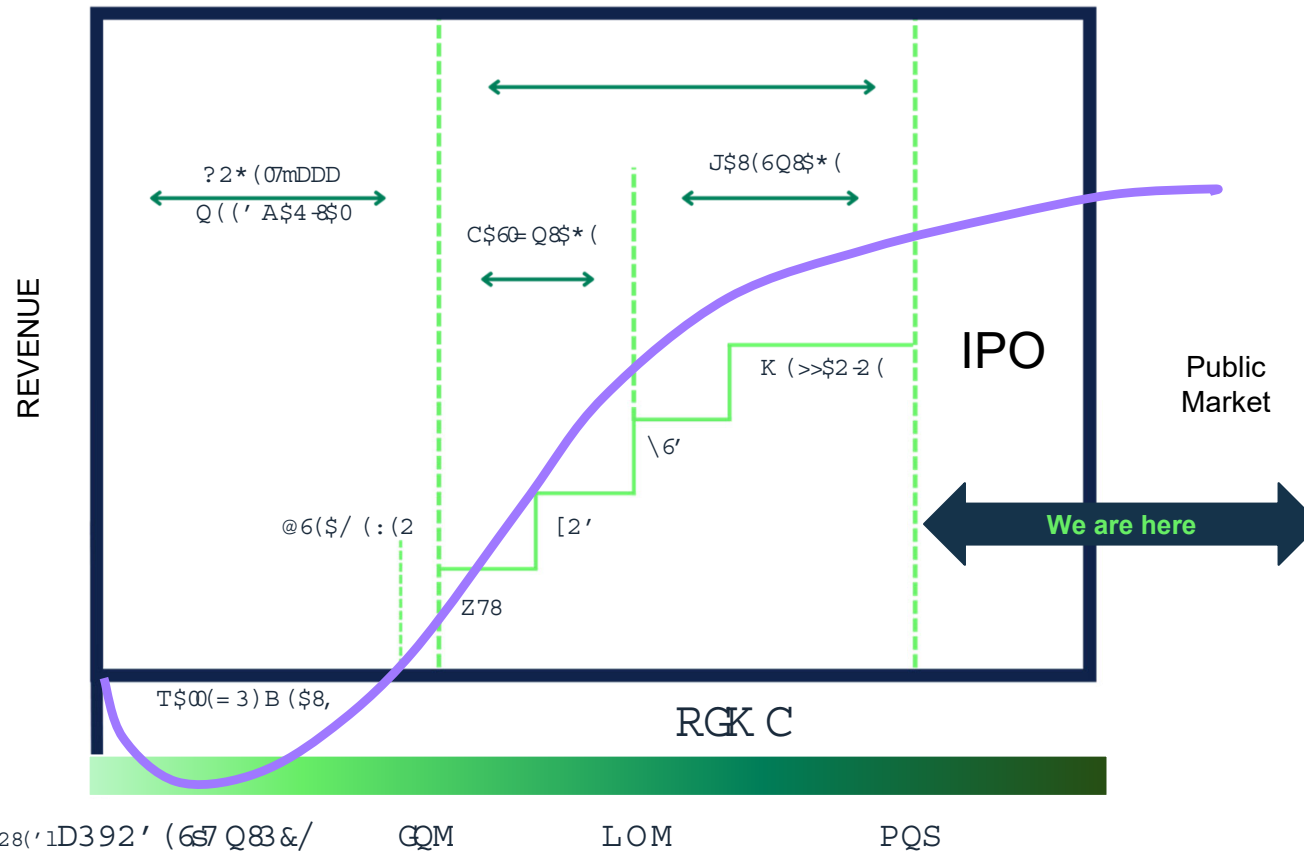
Life after the IPO

Life after the IPO

- The wild ride price-wise
- ESPPs
- 10b5-1s



Startup Financial Cycle



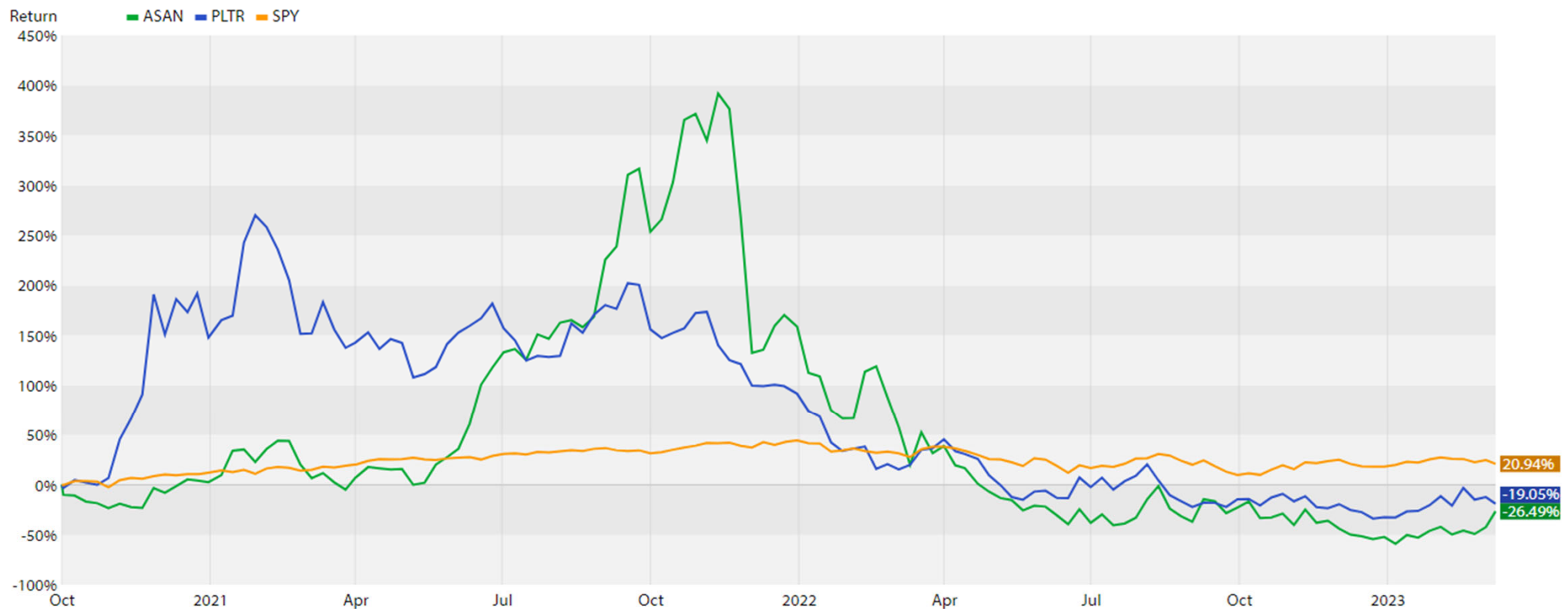
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Public Company Life



- Limited opportunities to trade your equity - often 4 times per year, for a short period, right after earnings announcements
- Unlimited changes to your company stock price
- Navigating insider trading restrictions
- Macro factors having a much greater impact on your plan

Public Company Life



Employee Stock Purchase Plan (ESPP)



General Principles

- Contributions on an after-tax basis
- Typically purchasing company stock at a 15% discount
- Lookback feature - allows you to purchase at lesser of the price at the beginning of the period or purchase date
- Watch out for lock-up provisions / sale restrictions

10b5-1 Plans



- Available to executives at public companies
- Allows you to contractually commit to stock sales in advance
- The agreement is binding, must be entered into when you do not possess Material Non-Public Information (MNPI)
- Provides unique flexibility:
 - Ability to trade shares outside of a trading window
 - Set limit prices and floors; dream prices
 - Sell RSUs as they vest



Strategies for Public Company Life

Public Company Strategy

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ØQ (88-2* 94 ZY%^eZ N0\$27 \$2' Q86\$8(*=



Managing RSUs and Withholding



- RSU vesting schedules come in many varieties:
 - Monthly
 - Quarterly
 - Semi-annually
 - Annually
 - 1-year cliff -> Monthly
- Standard withholding on RSUs is 22% Federal on the first \$1M in income
- **How many folks with RSUs do you know in the 22% tax bracket?**
 - Consider electing 30% or 37% withholding
- Great way to use 10b5-1 plan to sell at vesting

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Sample 10b5-1 Plan



Example

- Executive a company that went public in 2021 who routinely had access to MNPI

Strategy

- Wanted to make sure we got liquidity routinely via RSU sales regardless of price
- Had a price floor of \$12/sh to sell the top tranche of shares (unexercised options)
- Was willing to sell all of them anytime if the price hit \$16/sh

*** INFORMATION ON GRID MUST BE TYPED ***

Information on Grids Most Devalued

(a) Date of Grant	(b) Grant ID	(c) Strike Price	(d) Option Vest Date	(e) Option Expiration Date	(f) Sale Period(s)		(g) Number of Shares to be Sold	(h) Limit Price	
					Start Date	End Date			
Grid #1 – Maximum Number of Shares to Be Sold = 4,220									
			Vested	03/03/2030	03/20/2022	03/03/2023	3,376	\$16.00	
			Vested	03/03/2030	03/20/2022	03/03/2023	844	\$12.00	
			Vested	03/03/2030	04/15/2022	03/03/2023	844	\$12.00	
			Vested	03/03/2030	05/16/2022	03/03/2023	844	\$12.00	
			Vested	03/03/2030	06/15/2022	03/03/2023	844	\$12.00	
			Vested	03/03/2030	07/15/2022	03/03/2023	844	\$12.00	
Grid #2 – Maximum Number of Shares to Be Sold = 3,376									
				08/15/2022	03/03/2030	08/15/2022	03/03/2023	844	\$12.00
				09/15/2022	03/03/2030	09/15/2022	03/03/2023	844	\$12.00
				10/17/2022	03/03/2030	10/17/2022	03/03/2023	844	\$12.00
				11/15/2022	03/03/2030	11/15/2022	03/03/2023	844	\$12.00

Note: Insert additional rows as necessary.

Grid #2 – Maximum Number of Shares to Be Sold = *TBD								
RSU	04/01/2021	06/01/2022	06/02/2022	03/03/2023	*TBD (100% of net shares)		MKT	
RSU	08/31/2021	06/01/2022	06/02/2022	03/03/2023	*TBD (100% of net shares)		MKT	
RSU	04/01/2021	09/01/2022	09/02/2022	03/03/2023	*TBD (100% of net shares)		MKT	
RSU	08/31/2021	09/01/2022	09/02/2022	03/03/2023	*TBD (100% of net shares)		MKT	
RSU	08/31/2021	09/01/2022	09/02/2022	03/03/2023	*TBD (100% of net shares)		MKT	
RSU	04/01/2021	12/01/2022	12/02/2022	03/03/2023	*TBD (100% of net shares)		MKT	



Tax Reporting Traps

Tax Traps

- What's reported on the W-2 doesn't always correlate with the 1099
- Disqualifying Dispositions are a nightmare
- Cost basis issues
- How to report equity compensation NOT accurately reported on the W2



1099 + W-2 Traps

- Original W2 Received
- Original W2 did not include disqualifying disposition
- Failure to track this could have understated income by \$200,000
- Value add: track option exercises and reconcile with W2
- Amended W2 Received

EMPLOYEE'S RECORDS (See the back of Copy B.)		OMB No. 1545-0008
1 Wages, tips, other comp.	162376.36	2 Federal income tax withheld 31110.09
3 Social security wages	142800.00	4 Social security tax withheld 8853.60
5 Medicare wages and tips	162376.36	6 Medicare tax withheld 2354.46

for Form W-2c, boxes 5 and 6).	
Correct information	
1 Wages, tips, other compensation	362661.88✓
3 Social security wages	
5 Medicare wages and tips	
7 Social security tips	

1099 + W-2 Traps

Part I Additional Income		
1	Taxable refunds, credits, or offsets of state and local income taxes.....	1
2a	Alimony received.....	2a
b	Date of original divorce or separation agreement (see instructions) ▶	
3	Business income or (loss). Attach Schedule C.....	3
4	Other gains or (losses). Attach Form 4797.....	4
5	Rental real estate, royalties, partnerships, S corporations, trusts, etc. Attach Schedule E.....	5
6	Farm income or (loss). Attach Schedule F.....	6
7	Unemployment compensation.....	7
8	Other income:	
a	Net operating loss.....	8a
b	Gambling income.....	8b
c	Cancellation of debt.....	8c
d	Foreign earned income exclusion from Form 2555.....	8d
e	Taxable Health Savings Account distribution.....	8e
f	Alaska Permanent Fund dividends.....	8f
g	Jury duty pay.....	8g
h	Prizes and awards.....	8h
i	Activity not engaged in for profit income.....	8i
j	Stock options.....	8j 2,353,862.
k	Income from the rental of personal property if you engaged in the rental for profit but were not in the business of renting such property.....	8k
l	Olympic and Paralympic medals and USOC prize money (see instructions) ...	8l
m	Section 951(a) inclusion (see instructions).....	8m
n	Section 951A(a) inclusion (see instructions).....	8n
o	Section 461(f) excess business loss adjustment.....	8o
p	Taxable distributions from an ABLE account (see instructions).....	8p
z	Other income. List type and amount ▶	8z
9	Total other income. Add lines 8a through 8z.....	9 2,353,862.
10	Combine lines 1 through 7 and 9. Enter here and on Form 1040, 1040-SR, or 1040-NR, line 8.....	10 2,353,862.

BAA For Paperwork Reduction Act Notice, see your tax return instructions.

Schedule 1 (Form 1040) 2021

- What if the company did not issue a corrected W2 for the employee?
- Report the Disqualifying Disposition Income on Schedule 1 Line 8j
- The IRS put this fix in place because so many companies do not accurately report on the W2

1099 + W-2 Traps



- This 1099 shows about \$3.5M in ST Capital gains
- But these are all exercises + sales of NSOs
- The cost basis reported is the strike price
- The Bargain Element is all included in this client's W-2
- **Entering the 1099 as is results in \$1.75M in double taxation**

Short Term – Covered Securities (continued)										
Description (Box 1a)/ CUSIP Number	Quantity	Date Acquired (Box 1b)	Date Sold (Box 1c)	Gross proceeds less commissions (Box 1d)	Cost or other basis (Box 1e)	Wash sale loss disallowed (Box 1g)	Check if loss not allowed based on amount in Box 1d (Box 7)	Federal Income tax withheld (Box 4)	State Name (Box 14)/ State ID No. (Box 15)	State tax withheld (Box 16)
Tech Company	4,000.000000	02/26/21	02/26/21	\$95,994.56	\$18,880.00		☐			
	4,000.000000	03/04/21	03/04/21	\$101,914.53	\$18,880.00		☐			
	4,000.000000	03/04/21	03/04/21	\$99,394.54	\$18,880.00		☐			
	10,000.000000	05/14/21	05/14/21	\$191,977.57	\$47,200.00		☐			
	10,000.000000	05/14/21	05/14/21	\$199,997.53	\$47,200.00		☐			
	10,000.000000	05/18/21	05/18/21	\$209,999.47	\$47,200.00		☐			
	10,000.000000	05/24/21	05/24/21	\$210,007.47	\$47,200.00		☐			
	8,000.000000	05/27/21	05/27/21	\$179,994.13	\$37,760.00		☐			
	10,000.000000	08/13/21	08/13/21	\$250,026.27	\$47,200.00		☐			
	10,000.000000	08/18/21	08/18/21	\$255,008.24	\$47,200.00		☐			
	10,000.000000	08/18/21	08/18/21	\$245,016.80	\$47,200.00		☐			
	4,000.000000	08/23/21	08/23/21	\$99,194.54	\$18,880.00		☐			
	10,000.000000	08/26/21	08/26/21	\$250,120.77	\$47,200.00		☐			
	43,565.000000	11/11/21	11/11/21	\$1,002,607.93	\$205,626.80		☐			
	9,000.000000	12/07/21	12/07/21	\$177,294.14	\$42,480.00		☐			
Total Short Term – Covered Securities				\$4,358,420.01	\$871,146.80					

1099 + W-2 Traps

Part I Short-Term. Transactions involving capital assets you held 1 year or less are generally short-term (see instructions). For long-term transactions, see page 2.

Note: You may aggregate all short-term transactions reported on Form(s) 1099-B showing basis was reported to the IRS and for which no adjustments or codes are required. Enter the totals directly on Schedule D, line 1a; you aren't required to report these transactions on Form 8949 (see instructions).

You must check Box A, B, or C below. Check only one box. If more than one box applies for your short-term transactions, complete a separate Form 8949, page 1, for each applicable box. If you have more short-term transactions than will fit on this page for one or more of the boxes, complete as many forms with the same box checked as you need.

- ☒ **(A)** Short-term transactions reported on Form(s) 1099-B showing basis was reported to the IRS (see **Note** above)
- ☐ **(B)** Short-term transactions reported on Form(s) 1099-B showing basis **wasn't** reported to the IRS
- ☐ **(C)** Short-term transactions not reported to you on Form 1099-B

1	(a) Description of property (Example: 100 shares XYZ Co.)	(b) Date acquired (Mo., day, yr.)	(c) Date sold or disposed of (Mo., day, yr.)	(d) Proceeds (sales price) (see instructions)	(e) Cost or other basis. See the Note below and see Column (e) in the separate instructions	Adjustment, if any, to gain or loss. If you enter an amount in column (g), enter a code in column (f). See the separate instructions.		(h) Gain or (loss). Subtract column (e) from column (d) and combine the result with column (g)
						(f) Code(s) from instructions	(g) Amount of adjustment	
	Various	Various	2,002,364.	623,040.	B	-1379510.	-186.	

- When basis is misreported on 1099s, manual adjustments need to be made
- These get reported on the 8949
- Literally catching these adjustments can save clients hundreds of thousands of dollars

Review Prior Tax Returns

- Did the AMT credit carry forward? Check Form 8801
 - Changing tax preparers
 - Changing tax software
- Did the client report BE on ISO exercise? Check Form 6251
- Does the cost basis make sense?
- Does the AMT cost basis make sense?

The Comp in Equity Comp means “COMPLICATED”



- Okay, I made that part up - it means **compensation**
- But this stuff is very complex
- There is a whole lifecycle of planning to do just with this topic - in addition to all the traditional planning clients require
- Knowing the strategies, the biases, the tax impact, and the clients goals are key to building a sustainable plan



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THE LIQUIDITY EVENT

Some Resources



- Our Blog: <https://www.brooklynfi.com/blog>
- How we help folks with Equity Comp: <https://www.brooklynfi.com/stock-options>
- Liquidity Event Podcast: <https://www.brooklynfi.com/podcast>
- For all things equity comp: <https://www.mystockoptions.com/>
- Books to read:
 - Consider your Options by Kaye Thomas
 - The Stock Options Book
- Credentials: <https://www.scu.edu/business/cepi/>
 - Equity Compensation Associate
 - Certified Equity Professional



QUESTION & ANSWER SESSION

***REMINDER:**
Please complete the session survey!

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